Amendment of section 244A.

98. In section 244A of the Income-tax Act,—

(*a*) in sub-section (1), in clause (*a*), after sub-clause (*ii*), the following proviso shall be inserted with effect from the 1st day of October, 2023, namely: —

"**Provided** that where refund arises as a result of an order passed by the Assessing Officer in consequence of an application made by the assessee under sub-section (20) of section 155, such interest shall be calculated at the rate of one-half per cent for every month or part of a month comprised in the period from the date of such application to the date on which the refund is granted;";

(*b*) in sub-section (1A), the following proviso shall be inserted, namely:—

"**Provided** that where proceedings for assessment or reassessment are pending in respect of an assessee, in computing the period for determining the additional interest payable to such assessee under this sub-section, the period beginning from the date on which such refund is withheld by the Assessing Officer in accordance with and subject to provisions of sub-section (2) of section 245 and ending with the date on which such assessment or reassessment is made, shall be excluded.".